Chapter summary

Familiarising yourself with **items in green** is important for effective revision.
Paying attention to items in the boxes is helpful for understanding the concept(s).

25.1 The Balance of Payments Account (BOP Account)

Introduction to the BOP account

- A **balance of payments account** (BOP account) systematically summarises the transactions of an economy with the rest of the world in a specific period of time.
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The credit (+) side	The debit (–) side
All receipts and obligations received from non-residents are recorded on the credit (+) side.	All payments and liabilities to non-residents are recorded on the debit (–) side.

In Hong Kong, economic transactions with the Mainland are treated as external transactions and are recorded in the BOP account.

- The balance of payments account consists of:
  - the current account; and
  - the capital and financial account.

Current account

- The current account mainly records **the flow of real resources to and from abroad, ①including export and imports of goods and services; ②income receivable from the income payable abroad; and ③current transfers to and from abroad**.
- The four components of the current account: goods, services, income and current transfers.
- **Goods** (also known as visible trade or merchandise trade)
  - It shows the values of exports and imports of physical commodities.

$$\text{Value of total exports of goods} = \text{Value of domestic exports of goods} + \text{Value of re-exports of goods}$$

The credit (+) side	The debit (–) side
The value of exports of goods is recorded on the credit (+) side of the account.	The value of imports of goods is recorded on the debit (–) side of the account.

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- **Balance of visible trade** sometimes called 'visible trade balance', 'balance of trade' or 'balance of trade in goods'.

$$\text{Balance of visible trade} = \text{Value of total exports of goods} - \text{Value of imports of goods}$$

- Three possible outcomes for the balance of visible trade:

Visible trade surplus (Trade surplus)	• Value of total exports of goods > Value of imports of goods • The balance of visible trade is positive.
Visible trade deficit (Trade deficit)	• Value of total exports of goods < Value of imports of goods • The balance of visible trade is negative.
Visible trade balance	• Value of total exports of goods = Value of imports of goods • The balance of visible trade is zero.

■ **Services** (also know as invisible trade)

- It shows the values of exports and imports of services.

The credit (+) side	The debit (–) side
The value of exports of services is recorded on the credit (+) side of the account.	The value of imports of services is recorded on the debit (−) side of the account.

- **Balance of invisible trade** sometimes called 'invisible trade balance', or 'balance of trade in services'.

$$\text{Balance of invisible trade} = \text{Value of exports of services} - \text{Value of imports of services}$$

- Three possible outcomes for the balance of invisible trade:

Invisible trade surplus	• Value of exports of services > Value of imports of services • The balance of invisible trade is positive.
Invisible trade deficit	• Value of exports of services < Value of imports of services • - The balance of invisible trade is negative.
Invisible trade balance	• Value of exports of services = Value of imports of services • The balance of invisible trade is zero.

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- **Income** (also know as external factor income flows)
  - It records income receivable from abroad (recorded on the credit (+) side) and income payable abroad (recorded on the debit (–) side).

$$\text{Net income from abroad} = \text{Income receivable from abroad} - \text{Income payable abroad}$$

According to the Census and Statistics Department, the term 'primary income' has been adopted to replace the former term 'factor income'.

- **Current transfers**
  - It records transactions of real and financial resources between local residents and non-residents.
  - Current transfers are **unilateral in nature**.
  - Current transfers received from abroad are recorded on the credit (+) side of the account.
  - Current transfers to abroad are recorded on the debit (−) side of the account.

According to the Census and Statistics Department, the term 'secondary income' has been adopted to replace the former term 'current transfers'.

$$\text{Net current transfers} = \text{Current transfers from abroad} - \text{Current transfers to abroad}$$

- The **current account balance**

$$\text{Current account balance} = \text{Visible trade balance} + \text{Invisible trade balance} + \text{Net income from abroad} + \text{Net current transfers}$$

  - When the **current account balance is positive**, the current account is said to be **in surplus**.
  - When **the balance is negative**, the current account is said to be **in deficit**.

Capital and financial account

- The capital and financial account records external transactions in capital transfers; the acquisition or disposal of non-produced, non-financial assets and financial assets and liabilities between local residents and non-residents and shows how an economy's external transactions are financed.
- **Net capital inflow**
  - When capital inflow is larger than capital outflow, the net capital inflow is positive.
  - When capital inflow is smaller than capital outflow, the net capital inflow is negative.
- Capital account and financial non-reserve assets
  - Inflow of capital is recorded on the credit (+) side of the account.
  - Outflow of capital is recorded on the debit (–) side of the account.

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- Reserve assets
  - When there is **an increase (a decrease) in reserve assets**, i.e. the central bank **buys (sells) reserve assets**, the **net change in reserve assets is positive (negative)**.

Balance of payments and balance of the BOP account

- Meaning of balance of payments

$$\text{Balance of payments (BOP)} = \text{Balance of current account} + \text{Balance of capital and financial account (excluding changes in reserve assets)}$$

  - It can be in surplus (balance of payments surplus), deficit (balance of payments deficit) or balance (balanced balance of payments).
- Meaning of balance of the BOP account
  - **The balance of payments may not be zero while the balance of the BOP account is always zero**.

$$\begin{aligned}\text{Balance of the BOP account} &= \text{Current account balance} + \text{Capital and financial account balance}\\ 0 &= \text{Current account balance} + \text{Capital and financial account balance}\\ \text{Current account balance} &= -\text{Capital and financial account balance}\end{aligned}$$

  - When there is a **balance of payments surplus or deficit**, there will be a **change in reserve assets by the exact amount** so that the balance of the BOP account will be zero.

Balance of payments surplus	Balance of payments deficit	Balanced balance of payments
Reserve assets will increase by the amount of the surplus.	Reserve assets will decrease by the amount of the deficit.	Reserve assets will remain unchanged.

25.2 Introduction to Exchange Rate

Meaning of exchange rate

- An exchange rate is the price of a currency in terms of another currency.

The exchange rate of the foreign currency against the domestic currency is the reciprocal of the exchange rate of the domestic currency against the foreign currency.

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Types of exchange rate system

Floating exchange rate system	Fixed exchange rate system (Pegged exchange rate system)
• The exchange rate of a currency is determined by the demand for and supply of that currency in the foreign exchange market. • A rise (fall) in the value of one currency in terms of another currency is called currency appreciation (depreciation).	• The government or the central bank of a country fixes the exchange rate of its currency against other currencies or the price of gold. • When a government increases (decreases) the value of its currency against another currency, it is known as currency revaluation (devaluation).

Changes in exchange rates

- **Appreciation/revaluation**: When the domestic currency appreciates/ is revalued, the exchange value of the domestic currency in terms of the foreign currency rises.
- **Depreciation/devaluation**: When the domestic currency depreciates/ is devalued, the exchange value of the domestic currency in terms of the foreign currency falls.



A depreciation (an appreciation) of currency X against currency Y implies an appreciation (a depreciation) of currency Y against currency X.

25.3 Effects of a Change in the Exchange Rate

Effects of a change in the exchange rate on imports

- When there is an appreciation of the foreign currency (or a depreciation of the domestic currency):

	Effect	
	In terms of the domestic currency	In terms of the foreign currency
Import price	increases	remains unchanged
Import volume	decreases	
Value of imports	uncertain (depending on price elasticity of demand)	decreases

- When there is a depreciation of the foreign currency (or an appreciation of the domestic currency):

	Effect	
	In terms of the domestic currency	In terms of the foreign currency
Import price	decreases	remains unchanged
Import volume	increases	
Value of imports	uncertain (depending on price elasticity of demand)	increases

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Effects of a change in the exchange rate on exports

- When there is an appreciation of the foreign currency (or a depreciation of the domestic currency):

	Effect	
	In terms of the domestic currency	**In terms of the foreign currency**
Export price	remains unchanged	decreases
Export volume	increases	
Value of exports	increases	uncertain (depending on price elasticity of demand)

- When there is a depreciation of the foreign currency (or an appreciation of the domestic currency):

	Effect	
	In terms of the domestic currency	**In terms of the foreign currency**
Export price	remains unchanged	increases
Export volume	decreases	
Value of exports	decreases	uncertain (depending on price elasticity of demand)

25.4 The Linked Exchange Rate System in Hong Kong

- Under the linked exchange rate system, note-issuing banks can buy and sell Hong Kong dollars and US dollars with the Exchange Fund at a fixed exchange rate of US$1 to HK$7.8.
- Features:
  - Fixed exchange rate for the US dollar between the note-issuing banks and the Exchange Fund
  - Relative stable exchange rate between the Hong Kong dollar and the US dollar
  - Fluctuations in the exchange rates of the US dollar and the Hong Kong dollar are in phase



The market exchange rate of the Hong Kong dollar against the US dollar is not fixed but is determined by the demand and supply in the foreign exchange market.

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